

AUDITED GROUP RESULTS FOR THE YEAR ENDED 31 DECEMBER 2016

The Directors of BOC Kenya Limited are pleased to announce the audited Group results for the year ended 31 December 2016

Summarised consolidated income statement For the year ended 31 December 2016		
	2016 KShs '000	2015 KShs '000
Revenue	1,076,719	1,186,420
Earnings before finance income and taxes	132,368	160,175
Net Finance income	58,314	61,546
Profit before tax	190,682	221,721
Income tax expense	(64,359)	(73,121)
Profit for the year	126,323	148,600
Basic earnings per share	6.47	7.61

Dividend per share out of profit for the year:		
Interim paid	Kshs 2.20	Kshs 2.20
Final proposed	KShs 3.00	KShs 3.00
Total dividend	KShs 5.20	KShs 5.20

Summarised consolidated statement of financial position As at 31 December 2016		
	2016 KShs '000	2015 KShs '000
ASSETS		
Non-current assets	1,014,710	1,068,704
Current assets	1,200,592	1,252,252
Total assets	2,215,302	2,320,956
EQUITY AND LIABILITIES		
Share capital	97,627	97,627
Retained earnings	1,447,497	1,422,706
Other reserves	144,325	193,773
Total equity	1,689,449	1,714,106
Non-current liabilities	-	-
Current liabilities	525,853	606,850
Total liabilities	525,853	606,850
Total equity and liabilities	2,215,302	2,320,956

Summarised consolidated statement of cash flows For the year ended 31 December 2016		
	2016 Kshs'000	2015 Kshs'000
Cash generated from operations	165,018	264,633
Tax paid	(80,298)	(57,529)
Net cash from operating activities	84,720	207,104
Interest & Dividends received	74,516	56,907
Cash used in investing activities	(379,309)	(226,633)
Cash used in financing activities (Dividends paid)	(101,532)	(101,532)
Decrease in cash and cash equivalents	(321,605)	(64,154)
Cash & cash equivalents:		
At beginning of the year	400,568	478,158
Net decrease	(321,605)	(64,154)
Effect of exchange rates	(7,546)	(13,436)
At the end of the year	71,417	400,568

Summarised consolidated statement of changes in equity For the year ended 31 December 2016		
	2016 Kshs'000	2015 Kshs'000
At 1 January	1,714,106	1,747,188
Net profit for the year	126,323	148,600
Change in available for sale financial assets	(43,065)	(79,717)
Translation differences	(6,872)	(13,783)
Deferred tax on available for sale financial assets	489	13,350
Dividends	(101,532)	(101,532)
At 31 December	1,689,449	1,714,106

Overview:

2016 was a challenging year for the Group. Turnover decreased by 9.2% due to a one off sale of hospital equipment in the preceding year, sales lost earlier in 2016 when the Air Separation Unit (ASU) was shut to repair gas leaks on the production line as well as loss of volumes to low cost producers. The Company's ASU produces oxygen at a 99.9% purity level, which, together with our investments in stringent quality and safety processes has an impact on production costs.

The drop in revenue resulted in the decline of net profit for the year from KShs 148.6 Million in 2015 to KShs 126.3 Million in 2016.

Outlook:

We expect the favourable macroeconomic environment in East Africa to continue, including the positive growth rates. This together with ongoing investments in physical infrastructure and improving service provision by public institutions that support or interact with businesses will provide an environment that will enable the Company realise its financial objectives. However the landscape in the gases and welding products market is expected to continue being very competitive and the playing field not necessarily even.

Actions being taken by Management to arrest the decline in turnover include a review of our route-to-market in the three East African countries that we operate in, increasing our product range, greater focus on customer engineering services and ensuring that the business continually meets and exceeds the expectations of its customers.

Dividend:

The Board of Directors is pleased to recommend the payment of a final dividend of KShs 3.00 per share (2015: KShs 3.00) bringing the total dividend for the year 2016 to KShs 5.20 (2015: KShs 5.20) to be paid net of withholding tax on or about 13 July 2017 to shareholders on the register at close of business on 13 May 2017.

The Board of Directors also announce that the Annual General Meeting of the Company will be held on 21 June 2017. The notice of the meeting, the agenda and the annual report will be sent out to shareholders within the required notice period.

BY ORDER OF THE BOARD

Ruth Ngobi
Company Secretary
BOC Kenya Limited

30 March 2017

These results are an extract from the consolidated financial statements of BOC Kenya Limited for the year ended 31 December 2016, as audited by KPMG Kenya, Certified Public Accountants, and on which an unqualified opinion has been issued.